

plaintiff and the probability that his conduct will cause severe emotional distress to that plaintiff.”].)

Based on the foregoing, the demurrer is SUSTAINED WITH LEAVE TO AMEND. The FAC shall be amended to allege facts constituting the nature and extent of Santis Ruiz’s severe emotional distress. Moreover, Santis Ruiz is invited to include, in his amended pleading, any of the additional, proposed amendments included on page 7 of his Opposition.

[2] MOTION TO STRIKE PORTIONS OF THE FIRST AMENDED COMPLAINT

TENTATIVE RULING: The motion is GRANTED.

The moving party failed to include in the notice of this motion proper notice of the Court’s tentative ruling system as required by Local Rule 2.9. Moving party is directed to immediately provide, by telephone call AND email, the missing notice to opposing party/ies forthwith. The requirements for requesting oral argument under Local Rule 2.9 remain in effect. However, the Court may grant belated requests for oral argument or continuance of hearing, made by any party who represents it did not timely receive the required notice, regardless of whether or not moving party is present at the hearing.

Defendant Norberto Celerino (“Celerino”) moves, pursuant to Code of Civil Procedure section 435, *et seq.*, to strike the punitive damages allegations and prayer from Plaintiff Marbin Santis Ruiz’s First Amended Complaint (“FAC”).

Given that Santis Ruiz has been granted leave to amend the FAC by the Court’s concurrent ruling on Celerino’s demurrer, and given Santis Ruiz’s inclusion in Opposition of proposed amendments that can be made to the FAC to improve his punitive damages allegations and prayer, the Court finds the most efficient way to proceed is to grant the instant motion with leave to amend to allow Santis Ruiz to include those additional allegations.

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Alexander Rowland et al v. Newco Capital Group LLC et al

25CV002471

DEMURRER OF DEFENDANTS NEWCO CAPITAL GROUP LLC AND NEWCO CAPITAL GROUP VI LLC TO COMPLAINT

TENTATIVE RULING: The Demurrer is SUSTAINED WITHOUT LEAVE TO AMEND.

A. PROCEDURAL MATTERS

Defendants Newco Capital Group, LLC (“Newco”) and Newco Capital Group VI LLC (“Newco LLC”) (collectively, “Defendants”) demur, pursuant to Code of Civil Procedure

430.10, subdivisions (e) and (f),¹ to the Complaint of Plaintiffs Lernalabs, Inc. (“Lernalabs”) and Alexander Rowland (“Rowland”) (collectively, “Plaintiffs”).

Defendants argue that the First Cause of Action for Unfair and Deceptive Trade Practices under Business & Professions Code section 17200 (“UCL”) and Second Cause of Action for Usury are barred by claim preclusion, merger, the Full Faith and Credit Clause, collateral estoppel, and collateral attack upon a final sister-state judgment. Specifically, Defendants argue that the two causes of action, here, arise from the same Revenue Purchase Agreement (“Agreement”) upon which Defendants obtained a default judgment against Plaintiffs in a New York action on February 20, 2026 (“New York Judgment”).

In Opposition, Plaintiffs argue that claim preclusion cannot apply because the present action was filed *prior* to the New York action in which the Judgment was entered, and the New York action did not adjudicate Plaintiffs’ usury or UCL claims. Plaintiffs argue that issue preclusion does not apply because the issues raised in the present lawsuit were not actually litigated or necessarily decided, and not all parties were involved, in the New York action. Plaintiffs argue that the Full Faith and Credit Clause is not a ground upon which to sustain the demurrer because, even under New York law, the New York Judgment would not preclude the present case. Plaintiffs argue that Defendants’ merger theory does not apply because the two actions involve different primary rights and, therefore, the two causes of action asserted in the present action cannot merge into the New York judgment. Plaintiffs finally argue that Rowland and Newco LLC are not identical or parties in privity with the parties to the New York Judgment and therefore the New York Judgment does not serve to preclude the claims here asserted by Rowland and Newco LLC.

B. RELEVANT FACTUAL BACKGROUND

On November 21, 2025, Plaintiffs filed their Complaint in the present action. The causes of action in the Complaint are based on the Agreement, attached as Exhibit B to the Complaint. (Compl., ¶ 17, Exh. B.) The Agreement is between Newco (as Funder), Lernalabs (as Merchant), and Rowland (as Guarantor). (*Ibid.*) Plaintiffs allege that the Agreement is the result of Defendants’ unlawful conduct under the Business & Professions Code and that the true object of the Agreement is a loan of money at a usurious rate of interest. (Compl., ¶¶ 119, 126-130.) Plaintiffs seek damages including financial losses from the costs of defending against Defendants’ unlawful business practices, reputational harm, overpayments in interest in excess of the legally permissible limits, injunctive relief to prohibit Defendants from continuing their unlawful practices, restitution to restore Plaintiffs to the position they would have been in but for Defendants’ actions, and declaratory relief setting out the parties’ rights and duties under the Agreement. (Compl., ¶¶ 122, 124, 134, 136.)

On January 7, 2026, Newco filed a Verified Complaint in New York (“NY Complaint”). (Defs.’ Request for Judicial Notice (“RJN”), Exh. 1.) The NY Complaint names Lernalabs as a defendant; it does not name Rowland. (*Ibid.*) The NY Complaint asserts a single cause of action for breach of the Agreement, alleging that Newco fully performed under the Agreement and Lernalabs breached by failing to remit to Newco its share of Future Receivables. (*Id.*, ¶¶ 5, 14,

¹ All subsequent statutory references are to the Code of Civil Procedure unless otherwise specified.

17, Exh. A.) Newco sought \$226,340 plus interest, costs, and disbursements from Lernalabs by way of the NY Complaint. (*Id.*, ¶ 12, 18.)

On February 20, 2026, the New York court issued a default judgment against Lernalabs, in the total amount of \$233,045.70. (RJN, Exh. 4.)

On March 5, 2026, Defendants moved to stay or dismiss the present case based upon the New York Forum Selection Clause in the Agreement, forum non-conveniens, and other action “pending” in New York. On May 8, 2026, the Court denied Defendants’ motion on the ground that they failed to meet their burden on the motion of showing that litigating the claims in New York would not diminish in any way the substantive rights afforded Plaintiffs under California law; a requirement for forum selection clause analysis when a California complaint alleges a usury cause of action. (5/8/26 Minute Order.) Although the New York Judgment was attached to Defendants’ request for judicial notice and referenced in counsel’s declaration, Defendants’ memorandum of points and authorities represented that the New York action was “pending” and made no reference to the New York Judgment, and Defendants did not base their requested relief for stay or dismissal of the present action upon the issuance of the New York Judgment.

Now, Defendants demurrer to the Complaint on the grounds that the New York Judgment bars the present action from proceeding.

C. LEGAL STANDARD

A complaint must contain “facts constituting the cause of action.” (§ 425.10, subd. (a)(1).) The party against whom a complaint has been filed may object, by demurrer, on the grounds that “[t]he pleading does not state facts sufficient to constitute a cause of action,” “[t]he pleading is uncertain,” or “[i]n an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.” (§ 430.10, subds. (e)-(g).)

A demurrer is treated as “admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court must “construe the allegations of a complaint liberally in favor of the pleader.” (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 438.) The Court must also accept as true facts that may be inferred from those expressly alleged. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) The Court may also consider as grounds for a demurrer any matter that is judicially noticeable under Evidence Code sections 451 or 452. (Code. Civ. Proc., § 430.30, subd. (a).) Because “[a] demurrer tests only the legal sufficiency of the pleading . . . the question of plaintiff’s ability to prove the [] allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Comm. on Children’s Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 213-14.)

D. DISCUSSION

The parties agree that the Full Faith and Credit Clause requires California courts to give a sister-state judgment the same preclusive effect it would receive in the rendering state. (Mem.,

6:9-14; Opp., 6:11-13, citing *R.S. v. Pacificare Life Health Ins. Co.* (2011) 194 Cal.App.4th 192.) In other words, the question of whether a sister-state judgment has res judicata effect as to another action in a separate state is controlled by the law of the state which rendered the judgment. (See *R.S.*, *supra*, 194 Cal.App.4th at 201-02; see also *Martin v. Martin* (1970) 2 Cal.3d 752, 761, fn. 13 [“[T]he general principle [is] that the validity and effect of a judgment of a sister state are governed by the law of the state where the judgment was rendered.”].) Thus, under the Full Faith and Credit analysis, the preclusive effect of the New York Judgment in California is governed by the law of the rendering state—here, New York law.

Plaintiffs argue that the present action would not be barred under New York law because New York does not have a compulsory counterclaim requirement; counterclaims in New York are permissive only. Thus, claims that could have been, but were not, brought as a permissive counterclaim in New York (such as Plaintiffs’ two causes of action, here) are preserved *unless* the separate action would impair rights established by the prior judgment. (Opp., 6:17-21, citing cases.) Plaintiffs argue that Defendants have not shown that the present action would impair the rights established by the New York Judgment, such that the present action would be barred under New York law.

Plaintiffs accurately state the res judicata law of New York—notwithstanding New York’s permissive counterclaim rule, “a defendant who fails to bring a counterclaim in an action that results in an adverse judgment will be barred from bringing that same claim only if the two causes of action have such a measure of identity that a different judgment in the second would destroy or impair rights or interests established by the first.” (*Vince’s Pizza Plus, Inc. v. DeFedericis* (N.Y. App. Div. 2026) 251 A.D.3d 1548, 1550.)

The Court finds, however, that Defendants have established that the rights and interests established by the New York Judgment would be destroyed or impaired by the judgment Plaintiffs are seeking in the present action. (Mem., 9:25-10:12.) In Opposition, Plaintiffs fail to controvert that showing or otherwise persuade the Court that the present action would not impair or destroy the rights and interests established by the New York Judgment.

“Under New York’s transactional-analysis approach to res judicata, ‘once a claim is brought to a final conclusion, all other claims arising out of the same transaction or series of transactions are barred even if based upon different theories or if seeking a different remedy’ ([citations]). The doctrine is applicable to a judgment taken by default which has not been vacated, as well as to defenses which were or could have been raised in the action ([citation]). ... [¶] Furthermore, although New York does not have a compulsory counterclaim rule, ‘a party is not free to remain silent in an action in which he is the defendant and then bring a second action seeking relief inconsistent with the judgment in the first action by asserting what is simply a new legal theory’ ([citations]).” (*Santiago v. Lalani* (N.Y. App. Div. 1998) 256 A.D.2d 397, 398.)

Here, the claims asserted by Plaintiffs clearly arise out of the same Agreement which was at issue in the New York action. Moreover, Plaintiffs’ present claims could have been raised as defenses in the New York action and, if accepted, would impair Newco’s rights established by the Judgment rendered in that action. Notably, the New York Judgment established that Newco is entitled to a specific sum from Plaintiffs under the Agreement, and Plaintiffs’ present action

seeks, among other things, to enjoin Defendants from enforcing the Agreement, in a way that would effectively nullify or undermine Defendants' entitlement to the sum certain under the Agreement.

Thus, Plaintiffs' claims are barred by the doctrine of res judicata under New York law. Because the New York Judgment would have the effect, under New York res judicata principles, of barring the present action from proceeding, the Full Faith and Credit Clause operates to bar the present action.

Plaintiffs take issue with the fact that res judicata cannot serve to bar this *first-filed* action. However, such contention has been rejected. Both California and New York courts hold that that, "[w]here two actions involving the same issue are pending at the same time, it is not the final judgment in the first suit, but *the first final judgment* [even if rendered in the second suit] that renders the issue *res judicata* in the other court." (*Consumer Advoc. Grp., Inc. v. ExxonMobil Corp.* (2008) 168 Cal.App.4th 675, 684, emphasis in original [discussing claim preclusion]; see also *Tyler v. Standard Wine Co.* (1906) 102 N.Y.S. 65, 67 "[T]he date of the commencement of the actions, respectively, is of no consequence as to the effect of the [first rendered] judgment as res adjudicata."].)

Thus, the fact that the New York action was filed after the California action is irrelevant, where the New York Judgment became final while the California action remains pending without a final judgment. In these circumstances, the New York Judgment is the first final judgment and controls, for res judicata purposes, even over a first-filed action.

Plaintiffs further take issue with the fact that the New York Judgment is solely between Defendant Newco and Plaintiff Lernalabs, and that Defendant Newco LLC and Plaintiff Rowland were not parties and are not in privity with the parties to the New York action. (See Opp., 9:12-10:13.)

For claim preclusion, the party against whom the doctrine is being asserted must be a party or in privity with a party to the other proceeding. (*Hong Sang Market, Inc. v. Peng* (2018) 20 Cal.App.5th 474, 489; see also *Paramount Pictures Corp. v. Allianz Risk Transfer AG* (2018) 31 N.Y.3d 64, 73.) Privity requires the sharing of an identity or community of interest, with adequate representation of that interest in the first suit, and circumstances such that the nonparty should reasonably have expected to be bound by the first suit. (*Grande v. Eisenhower Medical Center* (2022) 13 Cal.5th 313, 319; see also *Shanghai Pearls & Gems, Inc. v. Paul* (N.Y. 2015) 239 A.D.3d 31, 36 "[Privity analysis] requires courts to consider 'whether the circumstances of the actual relationship, the mutuality of interests, and the manner in which the nonparty's interest were represented in the earlier litigation established a functional representation such that the nonparty may be thought to have had a vicarious day in court.'"]/)

Here, the res judicata doctrine is being asserted against Plaintiffs Lernalabs and Rowland. It is undisputed that Lernalabs was a party to the New York action.

Plaintiffs argue that Defendants’ representation of Rowland’s relationship with Lernalabs—that Rowland’s interests are derivative of Lernalab’s contractual rights as its founder, owner, and principal—is insufficient to establish privity. (Opp., 9:22-10:2.)

Defendants argue that the relationship as alleged through the Complaint is sufficient. Specifically, Rowland was Lernalabs’ founder, owner, and principal, Rowland’s requested recovery is based on the same corporate transactions, withdrawals, and collection activity as that of Lernalabs’, there is no separate payment, agreement, or injury personal to Rowland alleged in the Complaint, and an owner has no individual standing to recover for an injury to the corporation. (Mem., 9:6-15; Reply, 6:9-13.)

The Court has reviewed the Complaint which alleges that Rowland is “[Lernalab’s] largest shareholder and chief executive officer” (see Compl., ¶ 33) and Rowland’s claimed rights arise entirely through Lernalabs and the same Agreement, to which Rowland is a party as Lernalabs’ Guarantor. The Court finds that the Complaint establishes the requisite privity between Rowland and Lernalabs, in that (1) they share an identity and community of interest with respect to the allegations and relief sought in the Complaint, (2) Lernalabs’ status as a party in the New York action offered Rowland adequate representation of his interests in that suit, and (3) Rowland should reasonably have expected to be bound by the New York Judgment. (*Grande, supra*, 13 Cal.5th at 319.)

Based on the foregoing, the demurrer is SUSTAINED on the ground that the action is barred by claim preclusion under the Full Faith & Credit Clause. Plaintiffs’ request for leave to amend the privity allegations is denied, as it does not appear, nor do Plaintiffs contend, that they can truthfully amend the allegations to remove the requisite privity finding.

****at 9:30 a.m.****

SZS Napa LLC v. Brad Oldenbrook et al

24CV001136

TEAM BUILT CONSTRUCTION, INC.’S MOTION FOR GOOD FAITH SETTLEMENT

TENTATIVE RULING: The motion is GRANTED.

Defendant Team Built Construction, Inc. (Team Built) moves, pursuant to Code of Civil Procedure section 877.6, for an order determining that the settlement agreement between Plaintiff SZS Napa LLC and Team Built is entered into in good faith.

“[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or